



1. A Canadian corporation acquires a life insurance policy in which it pays an annual premium.
2. A third-party bank provides a demand loan to the corporation for legitimate income-earning business purposes, with no written agreement requiring principal repayment within 10 years.
3. Interest on the loan is deducted from income annually.

The advisor provides a single integrated sales illustration showing the premium amount, the loan amount, and the tax deduction amounts, with the loan projected to remain unpaid until death (an integrated arrangement)

Yearly Breakdown (Years 1 to 4):

- **Premium:** \$100,000
- **Loan:** \$100,000
- **Represented Deductions:** > \$1

Question:

Based strictly on CALU's memo, does this arrangement satisfy the statutory definition of a tax shelter under Subsection 237.1(1)?

Answer ONLY with a percentage.

Show less ^

100%



ChatGPT can make mistakes. Check important info.

+ Ask anything

Think



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Worked for 14s >

100%



+ Ask anything

Fast ▾

